

different baskets reduces risk. The danger in purchasing too many stocks, he felt, is that it becomes impossible to watch all the eggs in all the baskets. Investors run the risk of putting too much in a company they are unfamiliar with. In his view, buying shares in a company without taking time to develop a thorough understanding of the business is far riskier than having a limited diversification.

The differences between Graham and Fisher are apparent. Graham, the quantitative analyst, emphasized those factors that could be measured: fixed assets, current earnings, and dividends. His investigative research was limited to corporate filings and annual reports. He spent no time interviewing customers, competitors, or managers.

Fisher's approach was the antithesis of Graham's. Fisher, the qualitative analyst, emphasized factors that he believed increased the value of a company: principally, future prospects and management capability. Whereas Graham was interested in purchasing only cheap stocks, Fisher was interested in purchasing companies that had the potential to increase their intrinsic value over the long term. He would go to great lengths—and even conduct extensive interviews—to uncover bits of information that might improve his selection process.

After Buffett read Phil Fisher's book *Common Stocks and Uncommon Profits*, he sought out the writer. "When I met him, I was as impressed by the man as his ideas," Buffett said. "Much like Ben Graham, Fisher was unassuming, generous in spirit and an extraordinary teacher." Graham and Fisher's investment approaches differ, notes Buffett, but they are "parallel in the investment world."²⁶ Taking the liberty of rephrasing, I would say that instead of paralleling, in Warren Buffett they dovetail: his investment approach is a combination of a qualitative understanding of the business and its management (as taught by Fisher) and a quantitative understanding of price and value (as taught by Graham).

Warren Buffett once said, "I am 15 percent Fisher and 85 percent Benjamin Graham."²⁷ This remark has been widely quoted, but it is very important to remember that it was made in 1969. In the intervening years, Buffett has made a gradual but definite shift toward Fisher's philosophy of buying a select few businesses and owning those businesses for several